Norfolk Southern (NSC)

Merger Paper, Not a Railroad

Analyst: Justin Wen

*Merger Paper, Not a Railroad. Union Pacific agreed to pay 1.0 UNP share plus $88.82 cash per NSC share, worth $320 at announcement, a 25% premium [8-K guid]. The STB accepted the revised application in May 2026, rejected dismissal motions in September, and set a procedural schedule; the companies expect to close in the second half of 2027. Duopoly Economics Improving. Eastern US Class I with record $3.5B quarterly revenue, +4% volume, and a GAAP operating ratio recovered from 76.5% in FY23 to 64.2% in FY25. Dividend of $5.40 annualized. The franchise is strong even if the price is not [8-K guid]. Standalone Price Makes No Sense. At $326.92 [Mkt 17-Oct-26], the stock trades 70% above our $192.51 DCF base and the reverse DCF demands a 24.4% revenue CAGR. Without the merger, downside is severe. This is a bet on STB approval, not on the railroad. Our framework screens it as a **Hold** with a $184.80 blended target, 43% below the current price.*

HOLD	$184.80	-43%	$326.92
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Duopoly Economics Improving. Eastern US Class I with record $3.5B quarterly revenue, +4% volume, and a GAAP operating ratio recovered from 76.5% in FY23 to 64.2% in FY25. Dividend of $5.40 annualized. The franchise is strong even if the price is not [8-K guid].

Standalone Price Makes No Sense. At $326.92 [Mkt 17-Oct-26], the stock trades 70% above our $192.51 DCF base and the reverse DCF demands a 24.4% revenue CAGR. Without the merger, downside is severe. This is a bet on STB approval, not on the railroad.

$3.5B	65.5%	$3.52	$16.6B	$5.40	$8.8-8.9B
REVENUE (Q2 2026)	ADJ OPERATING RATIO (Q2 2026)	ADJ DILUTED EPS (Q2 2026)	TOTAL DEBT	ANNUALIZED DIVIDEND	FY2026 ADJ OPEX GUIDE

The moat is structural

UP merger at $320/share value (1.0 UNP share + $88.82 cash), 25% premium, STB review advancing

Three scenarios make the valuation range explicit

The DCF values Norfolk Southern across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$123.68**	-62%
Base	50%	**$193.40**	-41%

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Bull	25%	**$228.72**	-30%

Bear ($123.68, -62%): Growth disappoints and multiples compress; the $123.68 target marks the downside case.

Bull ($228.72, -30%): Execution compounds and the multiple rerates; the $228.72 target marks the upside case.

The probability-blended target implies -43% upside

Blended target: $184.80 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -43% upside from the $326.92 reference price.

$184.80

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

DCF Base $192.51 vs $326.92 = -41.1% [Mkt 17-Oct-26] Reverse DCF implied CAGR 24.4% [Mkt 17-Oct-26] Div yield 1.65% [Mkt 17-Oct-26] On standalone fundamentals the stock is deeply overvalued; the reverse DCF CAGR is more than double anything the railroad has ever delivered.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $184.80 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

UP merger at $320/share value (1.0 UNP share + $88.82 cash), 25% premium, STB review advancing [8-K guid]

Record $3.5B quarterly revenue on +4% volume and +11% YoY growth [8-K guid]

Operating ratio recovery: GAAP OR from 76.5% (FY23) to 64.2% (FY25), $215M+ productivity savings [8-K guid]

Intermodal and industrial demand improving across key markets in 2026 [8-K guid]

What to monitor

Oct 22, 2026. Q3 2026 Earnings (Two-Sided): Record revenue streak vs OR pressure. Q2 adjusted OR worsened 210 bps despite +11% revenue.

2027. STB Merger Decision (Two-Sided): Approval locks in merger value; rejection collapses a ~70% premium to our standalone DCF base.

2027. Merger Synergies (Positive): $2.75B annualized synergies and 7 premium intermodal lanes if the UP deal closes.

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$3.5B	65.5%	$3.52	$16.6B
REVENUE (Q2 2026)	ADJ OPERATING RATIO (Q2 2026)	ADJ DILUTED EPS (Q2 2026)	TOTAL DEBT

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$12.2B	$4.4B	$2.9B
2024	$12.1B	$4.5B	$2.6B
2023	$12.2B	$4.4B	$1.8B
2022	$12.7B	$5.2B	$3.3B

Key risks

STB Merger Rejection. First major rail merger judged under the STB's 2001 rules, which require enhanced competition, not just maintenance. UP agreed to a $2.5B reverse termination fee if the deal dies. Rejection would collapse the merger premium. [8-K guid]

Economic Cyclicality. Freight volumes track industrial production. A recession would cut carloads across intermodal, metals, and automotive while the fixed cost base barely moves. [10-K FY25]

Operating Ratio Pressure. Adjusted OR already worsened 210 bps in Q2 and opex guidance was raised. Fuel costs and labor inflation are persistent headwinds to the OR improvement story. [8-K guid]

Legacy Costs and Leverage. Eastern Ohio incident costs and merger-related expenses keep recurring in adjustments. Debt of $16.6B at 116% debt-to-equity leaves limited cushion if earnings soften. [10-K FY25]

Investment view

STB approval (expected H2 2027) confirms the merger value; rejection would likely cut 30%+ off the price toward standalone value. Near term, the Oct 22 Q3 OR print decides whether the margin slippage is one-off or structural.

Hold. The $184.80 blended target implies -43% upside, balancing the $123.68 / $193.40 / $228.72 Bear / Base / Bull targets.

Record $3.5B quarterly revenue on +4% volume and +11% YoY growth [8-K guid]

Operating ratio recovery: GAAP OR from 76.5% (FY23) to 64.2% (FY25), $215M+ productivity savings [8-K guid]

Intermodal and industrial demand improving across key markets in 2026 [8-K guid]

Upcoming catalysts

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